EQUITY RESEARCH • INITIATING COVERAGE

RELIANCE INDUSTRIES LIMITED

Oil-to-Chemicals • Digital Services • Retail • New Energy • Media

RATING	CMP	TARGET	UPSIDE	MKT CAP
OVERWEIGHT	**Rs 1,327**	**Rs 1,695**	**+28%**	**Rs 18.0L cr**

Full CMP Rs 1,327.2 (17-Jul-2026 close) — target price basis: Section 11, Sum-of-the-Parts Valuation

Ticker	NSE: RELIANCE | BSE: 500325
Sector	Diversified Conglomerate — Energy, Telecom, Retail
Report date	20 July 2026
Coverage basis	Q1 FY27 results (17-Jul-2026) and FY26 Annual Report
Prepared for	Mohd Zaid Ayaz — Portfolio Research Publication

Before You Read This Report

This document is an independently authored equity research report prepared by the Zaid Terminal Research Desk for inclusion in a personal analytics/software portfolio. It illustrates the analytical framework, financial-modelling approach, and presentation standard used in institutional sell-side research — in the style associated with firms such as BlackRock's fundamental research desks — applied here to Reliance Industries Limited (NSE: RELIANCE / BSE: 500325).

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Field	Detail
Company	Reliance Industries Limited
Exchanges	NSE: RELIANCE | BSE: 500325 | ISIN: INE002A01018
Sector / Industry	Diversified Conglomerate — Refining & Petrochemicals, Telecom, Retail
Report type	Initiating Coverage — Full Company Analysis
Data as of	20 July 2026 (latest print: Q1 FY27 results, 17 July 2026)
Currency	Indian Rupees (Rs / INR), crore = 10 million

Report structured in the format of a full institutional initiation note: thesis, business-by-business review, financial model, sum-of-the-parts valuation, catalysts, and risk disclosure.

SECTION 1

Executive Summary

Reliance Industries Limited (RIL) is India's largest listed company by market capitalisation and revenue — a vertically diversified conglomerate spanning energy (Oil-to-Chemicals refining and petrochemicals, upstream oil & gas), digital services (Jio Platforms), organised retail (Reliance Retail), media & entertainment (JioStar), and an emerging New Energy manufacturing platform. We initiate coverage with an **Overweight** stance and a sum-of-the-parts target price of **Rs 1,695**, implying roughly **28% upside** from the current market price of Rs 1,327.2 (17 July 2026 close).

CMP	TARGET PRICE	UPSIDE	MARKET CAP
Rs 1,327	**Rs 1,695**	**+28%**	**Rs 18.0L cr**
17-Jul-2026 close	SOTP, 12-month view	to target	~US$ 21552bn approx.

52-WEEK RANGE	TRAILING P/E	NET DEBT / EBITDA	CONSENSUS RATING
1,253 – 1,612	**21.0x**	**0.57x**	**Strong Buy**
Rs per share	vs. 5-yr average	Q1 FY27, investment grade	31 analysts

Exhibit 1: 52-week trading range vs. current market price and 12-month SOTP target. Source: NSE/BSE, Stockopedia, author estimates.

Q1 FY27 in one line

RIL delivered its **highest-ever quarterly recurring EBITDA** of Rs 54,067 crore (+10.1% YoY) in Q1 FY27 (quarter ended 30 June 2026, reported 17 July 2026), on gross revenue of Rs 340,257 crore (+24.5% YoY). Reported net profit fell 22.4% YoY to Rs 20,946 crore purely on a high base — Q1 FY26 had included a one-off Rs 8,924 crore gain on sale of listed investments that did not repeat. On a recurring basis, PAT actually rose 6.1% YoY to Rs 23,196 crore. The quarter's standout news was the formal listing process for **Jio Platforms**, whose DRHP was filed with SEBI in June 2026 — a potential value-unlocking catalyst we discuss in Section 7.

Investment summary

- **Diversified, cash-generative platform:** consumer-facing businesses (Jio + Retail) now contribute over half of consolidated EBITDA, reducing RIL's historical dependence on refining-cycle earnings.
- **Jio Platforms IPO is a structural catalyst:** a fresh-issue-only listing at an estimated US$ 100–180bn valuation would both delever Jio and crystallise a market-quoted value for RIL's largest and fastest-growing segment.
- **O2C delivered a 4-year-high EBITDA quarter** on strong middle-distillate cracks and improved petrochemical deltas, underscoring the resilience of RIL's integrated refining complex even amid crude price volatility.
- **New Energy remains the multi-year optionality:** the Jamnagar Giga Complex (solar, battery, electrolyser) is moving from construction to commissioning, though monetisation is still 2–3 years out.
- **Balance sheet is investment-grade and improving:** net debt/EBITDA of 0.57x and a Moody's upgrade to Baa1 during the quarter give RIL flexibility to fund capex without shareholder dilution risk.
- **Key watch-items:** Retail margin compression from digital-commerce investment, refining-margin cyclicality, execution risk on New Energy timelines, and Jio IPO pricing/valuation outcome.

SECTION 2

Investment Thesis

Our Overweight thesis on Reliance Industries rests on four pillars: (i) a maturing consumer franchise in Jio and Retail that is now large enough to re-rate on its own merits; (ii) an imminent, value-unlocking IPO of Jio Platforms; (iii) a resilient, cash-generative O2C engine that continues to fund the group's growth capex without balance-sheet stress; and (iv) a long-dated New Energy option that is not yet reflected in consensus estimates.

01

Consumer businesses have crossed the scale threshold

Jio and Retail together generated more than half of consolidated EBITDA in Q1 FY27, a structural shift from RIL's historical identity as an energy company. Jio's EBITDA margin of roughly 52% and Retail's expanding digital-commerce footprint (grocery orders +116% YoY) both point to durable, annuity-like cash flows that deserve a higher multiple than the cyclical O2C business.

02

The Jio Platforms IPO is a near-term catalyst

Jio Platforms filed its DRHP on 19 June 2026, targeting a 100%-fresh-issue listing of up to 27 crore equity shares (FV Rs 10) with an estimated valuation range of US$ 100–180bn. A public listing, expected in the August-October 2026 window, would both reduce Jio's leverage (~Rs 27,500 crore of proceeds earmarked for debt repayment) and give the market a clean, quoted reference price for RIL's largest single asset — a classic conglomerate-discount-narrowing event.

03

O2C remains the profit anchor, and it is currently outperforming

Despite a volatile crude backdrop (Brent averaged US$104.5/bbl in Q1 FY27, +54% YoY on Middle East supply disruption), RIL's O2C segment posted a 4-year-high quarterly EBITDA of Rs 17,010 crore (+17.2% YoY), aided by strong middle-distillate cracks and improved petrochemical deltas. RIL's flexible, multi-grade refining configuration allows it to source whichever crude offers the best economics at any point in time — a structural cost advantage versus single-grade refiners.

04

New Energy is a call option the market is not yet pricing

The Dhirubhai Ambani Green Energy Giga Complex in Jamnagar — spanning solar PV, battery (40 GWh initial, scaling to 100 GWh) and electrolyser (up to 3 GW/year) manufacturing — is moving from construction into commissioning through 2026. While monetisation is still 2–3 years away and execution risk is real, the segment gives RIL a second consumer-adjacent growth vector (energy storage, green hydrogen) layered on top of its existing hydrocarbon franchise.

What would change our view

Downside triggers to monitor: a Jio Platforms IPO priced meaningfully below the US$100–180bn range would remove the near-term re-rating catalyst; a sustained collapse in refining cracks would pressure the segment that still funds the bulk of group capex; and slippage in New Energy commissioning timelines (already pushed multiple times since 2023) would delay the optionality thesis further. We revisit these in **Section 14 — Risk Factors**.

SECTION 3

Company Overview

Founded by Dhirubhai Ambani and listed since the early 1980s, Reliance Industries has evolved from a textiles-and-polyester manufacturer into India's largest private-sector enterprise and the country's most valuable listed company. Under Chairman & Managing Director Mukesh D. Ambani, RIL has executed three distinct growth eras: backward integration into petrochemicals and refining (1990s–2000s), the Jio-led disruption of Indian telecom (2016–present), and the current build-out of retail scale and New Energy manufacturing capacity.

Business segments at a glance

Segment	Principal Activities	Q1 FY27 Revenue Share
Oil to Chemicals (O2C)	Refining, petrochemicals, polymers, elastomers, aromatics, polyester	55.2%
Digital Services (Jio)	Mobile, fixed broadband, enterprise connectivity, cloud, AI infrastructure	10.6%
Retail	Grocery, fashion & lifestyle, consumer electronics, FMCG, digital commerce	24.7%
Media & Entertainment (JioStar)	Television, JioHotstar streaming, digital advertising, sports rights	3.0%
Oil & Gas (E&P)	KG-D6 and CBM upstream gas production	1.7%
New Energy & Materials	Solar PV, battery storage, green hydrogen, carbon-fibre composites	Pre-revenue / early-stage
Financial Services	Jio Financial Services (demerged, separately listed since 2023)	Not consolidated

Note: Jio Financial Services was demerged from RIL in 2023 and trades as a separately listed entity (NSE: JIOFIN); it is excluded from RIL's consolidated segment reporting and from the SOTP valuation in Section 11.

Leadership

Name	Role
Mukesh D. Ambani	Chairman & Managing Director
Isha M. Ambani	Executive Director, Reliance Retail Ventures
Akash M. Ambani	Chairman, Reliance Jio Infocomm / Jio Platforms
Anant M. Ambani	Director, New Energy & New Materials
Nikhil Meswani / Hital Meswani	Executive Directors, O2C and Manufacturing

Scale snapshot (FY26)

CONSOLIDATED REVENUE

Rs 11.76L cr

FY26, +9.8% YoY

EBITDA

Rs 208k cr

FY26, +13.4% YoY

NET PROFIT

Rs 96k cr

FY26, +17.8% YoY — first year >US$10bn

EXPORTS

Rs 2.79L cr

6.7% of India's merchandise exports

TAX CONTRIBUTION

Rs 2.16L cr

FY26; Rs 9.78L cr cumulative, 5 years

EMPLOYEES (GROUP)

~390,000+

Across all subsidiaries, FY26

RETAIL STORES

20,169

Q1 FY27, +252 in the quarter

JIO SUBSCRIBERS

524mn

of which 268mn on 5G

SECTION 4

Corporate & Shareholding Structure

RIL operates as a holding structure with several large, wholly- or majority-owned subsidiaries that carry independent capital structures and, in Jio's case, an imminent path to a separate public listing. Understanding this structure matters for valuation: our sum-of-the-parts approach in Section 11 values each subsidiary against its own comparable set rather than applying a single blended multiple to the consolidated group.

Entity	RIL Ownership	Listing Status	Core Business
Reliance Industries Limited (Parent)	—	Listed (NSE/BSE)	O2C, Oil & Gas E&P, New Energy (held directly)
Reliance Jio Infocomm Ltd / Jio Platforms Ltd	66.4% (pre-IPO)	IPO in progress — DRHP filed Jun-2026	Telecom, broadband, digital services, AI infra
Reliance Retail Ventures Ltd	~85–90% (est., after minority stake sales)	Unlisted (external investors: KKR, QIA, ADIA, GIC and others)	Retail across grocery, fashion, electronics, FMCG
Reliance Consumer Products Ltd	Subsidiary of RRVL	Unlisted	FMCG brands — Campa, Independence, and others
JioStar (media JV)	Majority	Unlisted	Television, JioHotstar streaming, sports rights
Jio Financial Services Ltd	Demerged, RIL retains minority stake	Listed separately (NSE: JIOFIN)	NBFC, insurance JV, digital lending

Ownership percentages for unlisted subsidiaries are approximate and based on the most recent disclosed minority stake sales; RIL does not publish exact real-time percentages for all entities between reporting periods.

Shareholding pattern (RIL, approximate)

Holder Category	Approx. Stake
Promoter & Promoter Group (Ambani family)	~50%
Foreign Institutional Investors (FII)	~19–22%
Domestic Institutional Investors (DII) incl. mutual funds	~17–20%
Retail & Others	Balance

Why this matters for valuation: because Jio, Retail and O2C sit at different growth, margin and capital-intensity profiles — and because Jio is about to acquire an independent market price via IPO — a single consolidated P/E multiple materially understates or overstates RIL's true intrinsic value depending on where the cycle sits. We therefore lead with a sum-of-the-parts framework in **Section 11**.

SECTION 5

Industry & Macro Backdrop

RIL's earnings are exposed to three largely uncorrelated macro drivers — global refining and petrochemical cycles, Indian consumer/telecom demand, and the domestic energy-transition policy environment. This diversification is a structural strength relative to pure-play energy or telecom peers, but it also means the stock is genuinely difficult to model with a single macro variable.

Global refining & petrochemicals

Q1 FY27 saw Brent crude average roughly US$104.5/barrel, a 54% increase year-on-year, driven by Middle East supply disruptions. Counter-intuitively, this benefited RIL's O2C segment: middle-distillate cracks hit all-time highs and downstream petrochemical deltas reached 3–4-year highs, as global refining capacity remained tight relative to demand. RIL's multi-grade refining flexibility — it can process crude sourced from Russia, Saudi Arabia, Iraq, the UAE and Venezuela interchangeably — lets it capture the best available feedstock economics as crude differentials widen, a advantage that narrows in calmer markets but has been a clear tailwind through FY26–FY27.

Indian telecom

India's telecom market has consolidated to an effective three-player structure (Reliance Jio, Bharti Airtel, Vodafone Idea), with Jio and Airtel capturing the vast majority of incremental data and 5G subscriber growth. ARPU (average revenue per user) has been on a multi-year uptrend following tariff hikes in 2024, and 5G monetisation — through fixed wireless access (JioAirFiber), enterprise connectivity, and emerging AI-infrastructure services — is the next leg of industry growth. Jio's 533 million subscriber base and 285 million 5G users position it as the largest single beneficiary of this trend.

Indian organised retail

Organised retail penetration in India remains low relative to developed markets, leaving a long runway for store network expansion and, increasingly, hyperlocal digital-commerce growth. Reliance Retail, DMart (Avenue Supermarts) and a fast-growing set of quick-commerce entrants (Zepto, Blinkit, Instamart) are all investing heavily in delivery infrastructure, which is compressing near-term margins across the sector — a dynamic visible in Reliance Retail's own Q1 FY27 EBITDA margin decline (see Section 8).

India's energy transition policy

The Government of India's production-linked incentive (PLI) schemes for solar manufacturing and advanced battery chemistry, alongside its National Green Hydrogen Mission, directly underpin the economics of RIL's New Energy build-out at Jamnagar. A March 2026 regulatory change — allowing companies valued above Rs 5 lakh crore to list with a minimum public float of just 2.5% — also directly enabled the structuring of the Jio Platforms IPO discussed in Section 7.

SECTION 6

Segment Review — Oil to Chemicals (O2C)

O2C is RIL's largest and most capital-intensive segment, comprising the integrated Jamnagar refining complex (among the largest single-site refineries in the world), downstream petrochemicals (polymers, elastomers, aromatics, polyester intermediates), and fuel retailing through the Jio-BP joint venture (RBML, a 51:49 partnership with bp).

Q1 FY27 REVENUE	Q1 FY27 EBITDA	REVENUE SHARE	BRENT (Q1 FY27 AVG)
Rs 201,803 cr	**Rs 17,010 cr**	**55.2%**	**US$104.5/bbl**
+30.4% YoY	+17.2% YoY — 4-year high	of consolidated revenue	+54% YoY

The segment's outperformance in Q1 FY27 was driven by all-time-high middle-distillate (diesel, jet fuel) cracks and the widest petrochemical deltas in three to four years, even as the segment absorbed higher feedstock costs from a sharply higher crude tape. Management attributed this resilience to 'higher operating rates, optimised feedstock sourcing, and stronger domestic product placements' — in effect, RIL's scale and sourcing flexibility allowed it to pass through cost inflation more effectively than smaller, single-grade refiners.

Structural characteristics

- **Feedstock flexibility:** RIL's refinery can process a wide range of crude grades, letting it arbitrage price dislocations between sanctioned, discounted and premium-grade crude — a persistent edge through the 2022–2026 period of shifting global trade flows.
- **Integration:** refining output feeds directly into RIL's own petrochemical crackers, capturing margin at each stage of the value chain rather than selling intermediate products to third parties.
- **Cyclicality:** O2C earnings remain sensitive to global refining-margin cycles, which are a function of demand growth, competitor capacity additions (especially in the Middle East and China), and geopolitical supply disruptions — the segment's single largest source of quarter-to-quarter earnings volatility for the group.
- **FY26 full-year segment EBITDA** grew roughly 10% YoY on supportive transportation-fuel cracks, even as the standalone Oil & Gas E&P business saw FY26 EBITDA decline about 10% on lower production and higher government profit-sharing — a reminder that RIL's upstream and downstream energy businesses do not always move in tandem.

Outlook

We expect O2C EBITDA to remain the single largest swing factor in RIL's near-term earnings, given its ~55% share of segment revenue. Near-term refining cracks remain supportive, but we would flag that the Q1 FY27 quarter benefited from an unusually wide crude-price shock; a normalisation of Brent and differentials in subsequent quarters could compress the segment's margin versus this print, even as absolute volumes remain healthy.

SECTION 7

Segment Review — Digital Services & the Jio Platforms IPO

Digital Services — operated through Reliance Jio Infocomm and its parent Jio Platforms Limited — is RIL's highest-margin segment and the business at the centre of the group's biggest near-term catalyst: a planned public listing.

Q1 FY27 EBITDA	SUBSCRIBERS	5G SUBSCRIBERS	FY26 EBITDA MARGIN
Rs 21,255 cr	**524mn**	**268mn**	**51.9%**
+16.1% YoY	total, +YoY growth	of total base	highest of any segment

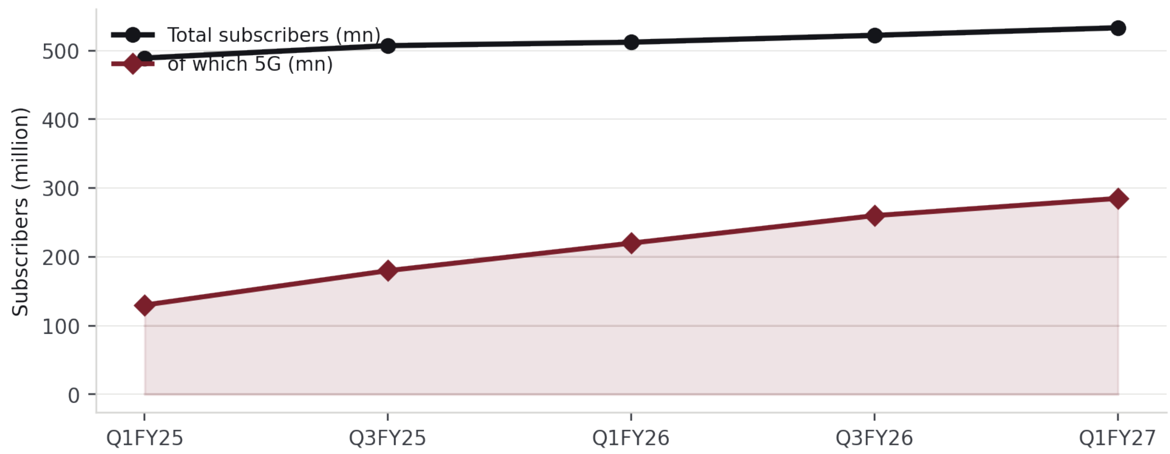


Exhibit 2: Jio subscriber growth, total vs. 5G (illustrative quarterly trend based on disclosed endpoints). Source: RIL investor presentations.

Operating performance

Jio's FY26 revenue reached Rs 146,885 crore (US$15.5bn, +14.7% YoY) with EBITDA of Rs 76,255 crore and PAT exceeding Rs 30,049 crore. Growth continues to be driven by ARPU expansion (following the 2024 tariff hikes), 5G subscriber additions, and scaling of adjacent products — JioAirFiber (fixed wireless home broadband), enterprise connectivity and cloud, and the newly disclosed 'JioBrain' agentic AI stack that automates network operations (capacity allocation, fault prediction, churn detection, antenna-tilt tuning) and which management intends to license internationally.

Jio Platforms IPO — deep dive

Parameter	Detail
DRHP filed	19 June 2026
Issue structure	100% fresh issue, no OFS
Issue size	up to 27 crore equity shares (FV Rs 10), estimated at Rs 37,700 crore
Estimated valuation	US$ 100–180 billion
Use of proceeds	~Rs 27,500 crore to prepay Reliance Jio Infocomm debt; balance for AI/network capex and general corporate purposes
Expected listing window	August-October 2026
RIL pre-IPO stake	66.43%
Leadership	Akash Ambani (Chairman), with Isha and Anant Ambani named in the DRHP as leading the IPO process

The IPO was announced by Mukesh Ambani at RIL's 49th AGM on 19 June 2026 — the same day the DRHP was filed — alongside a headline US$110bn multi-year capital commitment toward AI and digital infrastructure. A March 2026 regulatory change permitting companies valued above Rs 5 lakh crore to list with a minimum public float of only 2.5% was the specific regulatory unlock that allowed Jio to pursue a fresh-issue-only structure (no offer-for-sale, meaning existing shareholders including RIL are not selling down), which management has framed as ensuring 'every rupee raised goes into the business.' Existing RIL shareholders are expected to receive a reserved allotment quota.

> **Why this matters for RIL's stock:** conglomerates with fast-growing subsidiaries often trade at a discount to the sum of their parts because the market cannot separately value each piece. A Jio listing at the upper end of the disclosed valuation range (~US$180bn, or roughly Rs 15 lakh crore) would imply Jio alone is worth a very large share of RIL's current total market capitalisation of Rs 18.0 lakh crore — which is the central argument behind the conglomerate re-rating thesis in **Section 2**. Final pricing will not be known until SEBI clears the DRHP and book-building begins; we treat the disclosed range as an input to, not a substitute for, our own SOTP valuation in **Section 11**.

JioStar (media)

RIL's media arm, JioStar, reported Q1 FY27 revenue of Rs 10,946 crore (+14% YoY) and EBITDA from operations of Rs 933 crore (+30.7% YoY), with the JioHotstar streaming platform recording a record 530 million average monthly active users — evidence that the Star India – Disney merger integration is beginning to show operating leverage.

SECTION 8

Segment Review — Retail

Reliance Retail Ventures Limited (RRVL) is India's largest retailer by revenue, operating across grocery, fashion & lifestyle, consumer electronics, and — through Reliance Consumer Products — a fast-scaling FMCG portfolio. The segment is in the midst of a strategic pivot toward hyperlocal digital commerce, which is pressuring near-term margins even as it expands the addressable market.

Q1 FY27 GROSS REVENUE	Q1 FY27 EBITDA	EBITDA MARGIN	STORE COUNT
Rs 90,408 cr	Rs 6,309 cr	7.9%	20,169
+7.4% YoY	-1.1% YoY	-80 bps YoY	+252 in Q1

Q1 FY27 operating detail

- Revenue from operations rose 8.2% YoY to Rs 79,745 crore; adjusted for the FY25 demerger of the consumer-brands business, comparable growth was 11.6%, with double-digit underlying growth across grocery, fashion & lifestyle, and consumer electronics.
- Net profit fell 14.1–14.2% YoY to roughly Rs 2,805–2,806 crore, as continued investment in digital-commerce infrastructure raised fixed costs faster than revenue growth in the near term.
- The business recorded 568 million transactions in the quarter, up 46% YoY, across a registered customer base of roughly 396 million.
- Grocery digital-commerce average daily orders grew 116% YoY; JioMart now serves roughly 5,500 pin codes, with more than 2,500 stores connected to a two-hour hyperlocal delivery network.
- In fashion & lifestyle, digital commerce contributed 27.3% of apparel & footwear revenue (+490 bps YoY); Shein (relaunched in India via a Reliance partnership) crossed 30 million app installs, and Ajio Luxe expanded to more than 1,000 brands.
- Reliance Consumer Products (FMCG) posted gross revenue of Rs 8,600 crore, more than doubling YoY, with the Independence brand (daily essentials) contributing Rs 3,200 crore and Campa (beverages) contributing Rs 2,900 crore — already exceeding half of Campa's full FY26 sales within one quarter.

FY26 full-year context

For the full year FY26, Reliance Retail delivered gross revenue of Rs 3,70,026 crore (+11.8–12% YoY) and EBITDA of Rs 27,033 crore (+7.9–8% YoY), with an EBITDA margin of 8.3%, opening 1,564 new stores over the year to close FY26 with a store count of 20,160 across 78.3 million square feet of retail area, and serving 387 million registered customers across 1.93 billion transactions.

Reading the margin story

> Retail's EBITDA margin compression (Q1 FY27: 7.9%, down 80 bps YoY) is the single most-watched metric in this segment. Management attributes it entirely to elevated fixed-cost investment in hyperlocal delivery infrastructure — a deliberate, front-loaded spend to build a two-hour delivery network ahead of quick-commerce competitors, rather than a sign of underlying demand weakness (revenue growth and transaction volumes both accelerated in the same quarter). We would want to see margin stabilisation within the next 3–4 quarters as delivery infrastructure investment matures into operating leverage; a longer period of margin erosion would be a genuine read-through of competitive intensity in Indian quick-commerce rather than a temporary investment cycle.

SECTION 9

Segment Review — New Energy & Oil and Gas E&P

New Energy & New Materials

RIL's New Energy business is being built around the Dhirubhai Ambani Green Energy Giga Complex in Jamnagar — a roughly 5,000-acre integrated manufacturing hub for solar PV modules, battery storage, and green-hydrogen electrolysers — alongside a separate 550,000-acre renewable power generation project in Kutch, Gujarat. Management has described the ambition as building 'the world's only fully integrated, self-sufficient new energy company.'

BATTERY GIGAFACTORY	SOLAR MANUFACTURING	ELECTROLYSER CAPACITY	GREEN H2 TARGET
40 GWh	**10 GWp**	**3 GW/yr**	**3mn tonnes/yr**
scaling to 100 GWh	target 20 GWp/yr	by end-2026	by 2032

Progress and timeline

- Per RIL's FY26 Annual Report (May 2026), the battery energy storage system (BESS) gigafactory is in advanced stages of commissioning, with lithium iron phosphate (LFP) battery production expected to ramp through the second half of 2026 at an initial 40 GWh annual capacity, scaling toward 100 GWh.
- The solar PV manufacturing complex is already operational, having produced its first heterojunction (HJT) solar modules — management cites 10% higher energy yield, 20% better temperature tolerance, and 25% lower degradation versus conventional modules — and is on track to scale to 10 GWp of annual capacity, with a further expansion path to 20 GWp.
- The electrolyser gigafactory (up to 3 GW/year scalable capacity) is targeted for operational start by end-2026, positioned to support RIL's stated ambition of 3 million tonnes per annum of green hydrogen production by 2032.
- Solar power generation at the 550,000-acre Kutch project is expected to commence in FY27, with output used initially for captive consumption (including at the Jamnagar refinery and adjacent data centres) and, over time, for green-fuel production.

Investment view

We view New Energy as a long-dated call option rather than a near-term earnings driver: the segment is still pre-revenue at meaningful scale, timelines have slipped from original guidance on multiple occasions since 2023, and the capital intensity is substantial (part of RIL's five-year capex total of roughly Rs 6.48 lakh crore). We have therefore assigned New Energy only a modest, early-stage valuation in our SOTP (Section 11) and would look for commercial battery-cell shipments and Kutch generation start-up as the next concrete milestones to re-rate this segment's contribution.

Oil & Gas (E&P)

RIL's upstream business — principally the KG-D6 deepwater gas fields off India's east coast, alongside coal-bed methane assets — is now a small and declining share of group revenue (roughly 1.7% in Q1 FY27), though it remains strategically important as a domestic gas supply source. FY26 segment EBITDA declined roughly 10% YoY, which management attributed to lower production and higher government profit-sharing under India's production-sharing contract framework, only partly offset by favourable domestic gas pricing.

SECTION 10

Financial Analysis

RIL's consolidated financials reflect a five-year trend of steady top-line growth layered on top of disproportionately faster EBITDA growth — group EBITDA has effectively doubled since FY21 — as the higher-margin Jio and Retail businesses have scaled to become a larger share of the mix. Q1 FY27's headline profit decline is a base-effect artifact, not an operating deterioration; we walk through both the reported and normalised trends below.

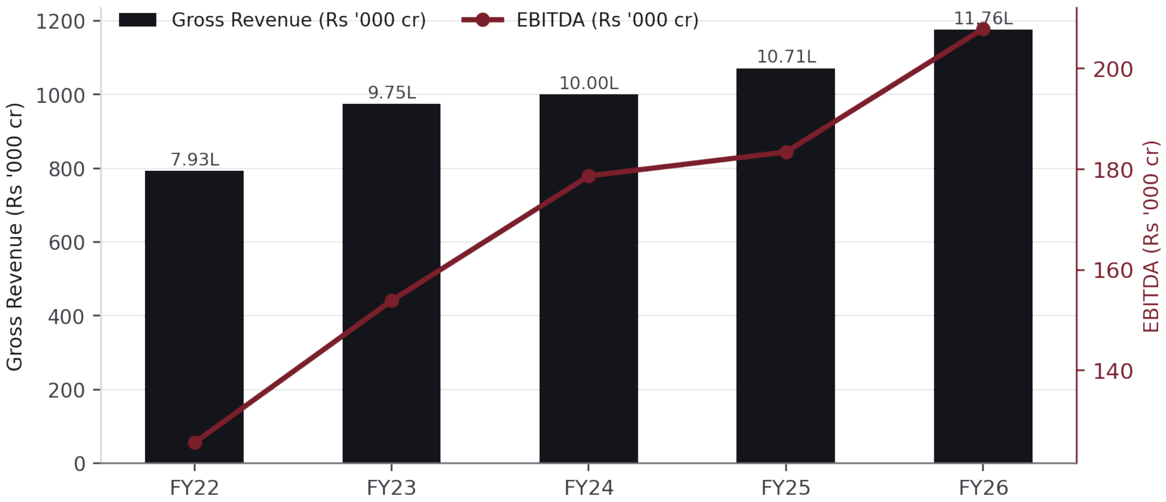
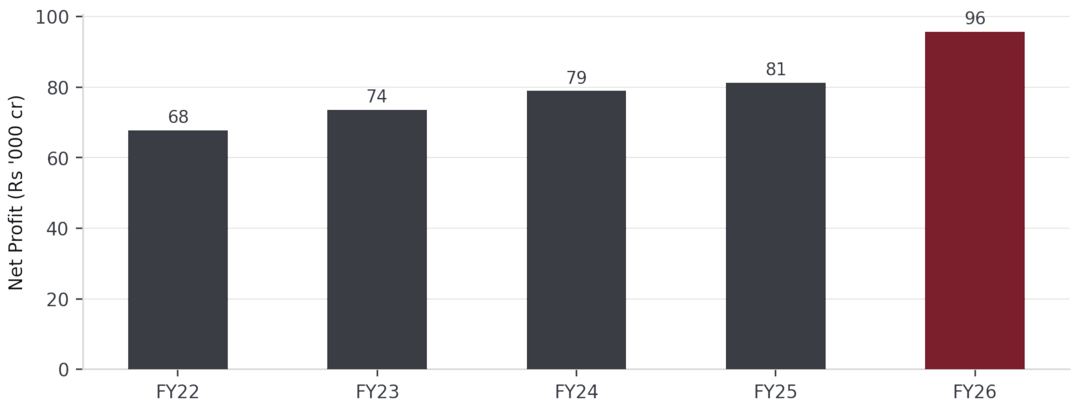


Exhibit 3: Consolidated gross revenue and EBITDA, FY22–FY26. Source: RIL annual reports and investor presentations.

Fiscal Year	Gross Revenue (Rs cr)	EBITDA (Rs cr)	EBITDA Margin	Net Profit (Rs cr)
FY22	792,756	125,688	15.9%	67,845
FY23	974,864	153,920	15.8%	73,670
FY24	1,000,122	178,677	17.9%	79,020
FY25	1,071,174	183,422	17.1%	81,309
FY26	1,175,919	207,911	17.7%	95,754

Profit & loss walk — quarterly



** Revenue from operations, which excludes certain pass-through items included in 'gross revenue' of Rs 3,40,257 crore — both are reported by RIL and used interchangeably across financial media; we present both for clarity.*

Metric	Q1 FY26	Q1 FY27	Value / Recurring	YoY
Gross Revenue (Rs cr)	2,73,252	3,11,850*	3,40,257	+24.5%

Metric	Q1 FY26	Q1 FY27	Value / Recurring	YoY
EBITDA — reported (Rs cr)	46,789	51,403	54,067 (recurring)	+10.1% (recurring)
EBITDA Margin	17.1%	16.5%	15.9%	—
Net Profit — reported (Rs cr)	30,783	20,946	23,196 (recurring)	+6.1% (recurring)
EPS — Basic (Rs)	19.95	12.54	—	—
Capital Expenditure (Rs cr)	—	38,682	—	—

The gap between reported and recurring PAT growth in Q1 FY27 (-22.4% vs. +6.1%) is entirely explained by a one-off Rs 8,924 crore gain on sale of listed investments booked in Q1 FY26 that did not recur. We treat the recurring figures as the more meaningful basis for trend analysis and valuation.

Segment EBITDA contribution

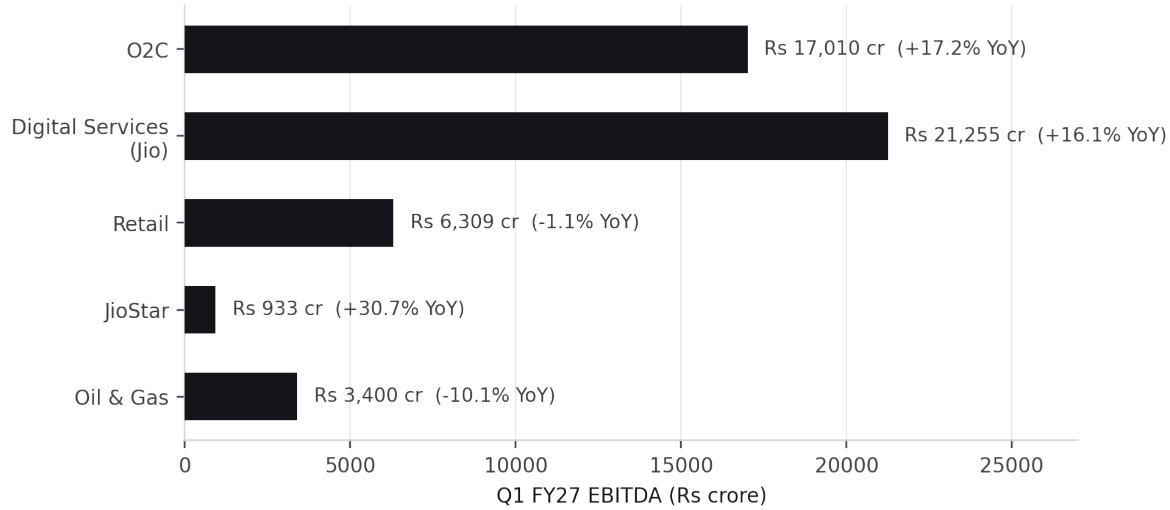


Exhibit 4: Q1 FY27 EBITDA by segment. O2C and Jio together account for the large majority of group profit. Source: RIL Q1 FY27 investor presentation.

Revenue mix

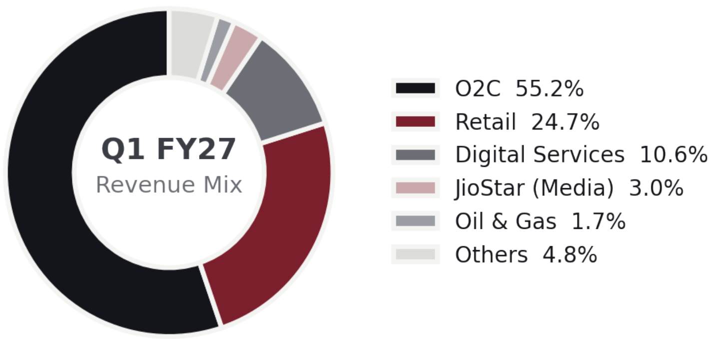


Exhibit 5: Q1 FY27 revenue mix by segment. Source: RIL Q1 FY27 investor presentation.

Balance sheet & credit profile

GROSS DEBT	NET DEBT	NET DEBT / EBITDA	CASH & EQUIVALENTS
Rs 370k cr	**Rs 123k cr**	**0.57x**	**Rs 2.50L cr**
Q1 FY27, down from FY26 close	Q1 FY27	well below 1.0x	as of FY26 close (Mar-2026)

MOODY'S RATING	S&P RATING	DEBT / EQUITY	RETURN ON EQUITY (3-YR AVG)
Baa1	**A-**	**0.17x**	**8.8%**
upgraded during Q1 FY27	2 notches above India sovereign	conservative, group level	reflects capex-heavy, pre-monetisation phase

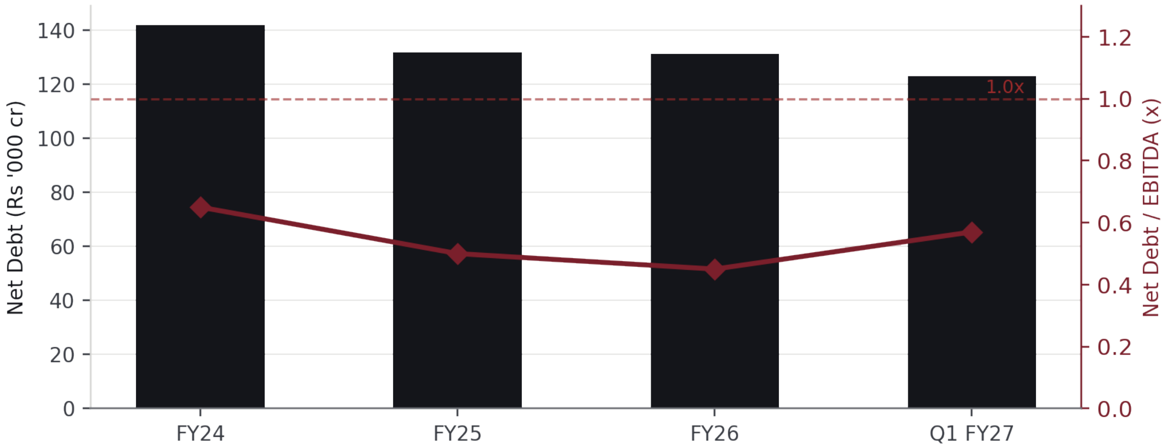


Exhibit 6: Net debt and net debt/EBITDA, FY24–Q1 FY27. RIL has maintained leverage comfortably below 1.0x through a heavy capex cycle. Source: RIL results presentations.

Capital allocation

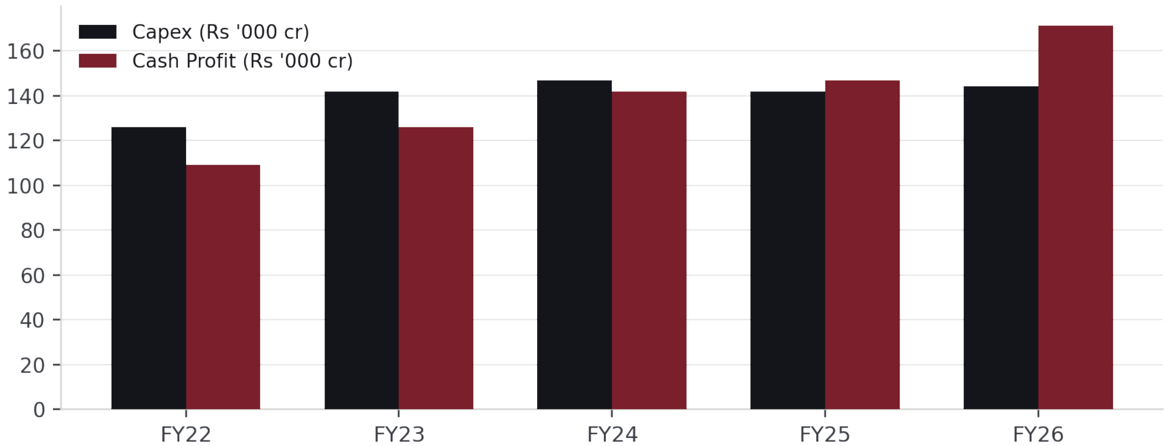


Exhibit 7: Capital expenditure vs. cash profit generation, FY22–FY26. Cash profit has consistently funded the bulk of capex, limiting incremental leverage. Source: RIL FY26 annual results presentation.

RIL invested a cumulative Rs 6.48 lakh crore in capex over the five years to FY26 — spanning 5G network rollout, O2C downstream expansion, New Energy manufacturing capacity, and retail/logistics infrastructure — while keeping net debt/EBITDA below 1.0x throughout. Q1 FY27 capex of Rs 38,682 crore continued this pattern, directed primarily at New Energy scale-up, O2C downstream upgrades, and consumer-business logistics.

Key financial ratios

Ratio	Value
Trailing P/E	21.0x

Ratio	Value
Price / Book	1.90x
Dividend per Share (FY26)	Rs 6.00
Dividend Yield	0.45%
Net Debt / EBITDA	0.57x
Debt / Equity	0.17x
Return on Equity (3-yr avg)	8.8%
EBITDA Margin (Q1 FY27)	15.9%

SECTION 11

Valuation — Sum-of-the-Parts, DCF & Peer Multiples

Consistent with standard institutional practice for diversified conglomerates, we anchor RIL's valuation on a sum-of-the-parts (SOTP) framework, cross-checked against a discounted-cash-flow view of the group as a whole and a review of trading multiples across the narrow set of imperfect but directionally useful Indian large-cap comparables.

Sum-of-the-parts

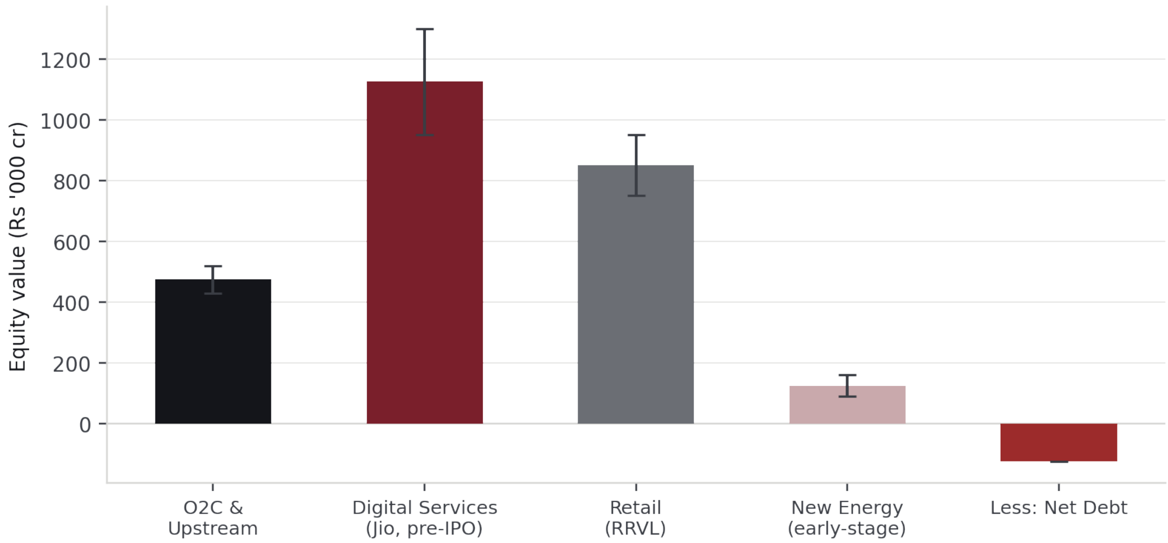


Exhibit 8: Illustrative SOTP equity-value ranges by segment (Rs '000 crore). Ranges reflect the wide dispersion in disclosed Jio IPO valuation estimates (US$100–180bn) and the early-stage nature of New Energy. Author estimates — not RIL company guidance.

Component	Methodology	Value Range (Rs cr)
O2C & Upstream Oil and Gas	8.5–10.5x FY27E EV/EBITDA on a combined ~Rs 82,000 cr O2C+O&G annualised EBITDA run-rate	4,30,000 – 5,20,000
Digital Services (Jio, pre-IPO)	Disclosed IPO valuation range of US$100–180bn (~Rs 8.3–15.0 lakh crore at ~USDINR 83)	9,50,000 – 13,00,000
Retail (RRVL)	18–23x FY27E EV/EBITDA, reflecting a discount to pure-play DMart given lower margins but larger scale	7,50,000 – 9,50,000
New Energy (early-stage)	Cost-plus-optionality approach given pre-revenue status; modest premium to invested capital	90,000 – 1,60,000
Less: Net Debt (group level, Q1 FY27)	Per Q1 FY27 balance sheet	(1,22,914)
Implied Equity Value (Rs crore)	Sum of above	20,97,000 – 28,07,000
Implied Value per Share (Rs)	Divided by ~1,354 cr shares outstanding	1,549 – 2,073

This SOTP range (roughly Rs 1,550–Rs 2,075 per share) is intentionally wide, reflecting genuine uncertainty in the Jio IPO's eventual pricing. We set our 12-month target price at **Rs 1,695** — toward the lower-middle of this range and broadly in line with the sell-side consensus of Rs 1,695 across 31 analysts — to reflect conservatism around IPO execution risk and near-term margin pressure in Retail, while still capturing the structural re-rating case laid out in Section 2.

Discounted cash flow — cross-check

As a sanity check on the SOTP, we ran a simplified group-level DCF using the following assumptions: (i) consolidated free cash flow before growth capex normalising as 5G and New Energy capex intensity moderates from FY28 onward; (ii) a terminal growth rate of 5–6%, reflecting India's nominal GDP growth trajectory; and (iii) a WACC of 10.5–11.5%, reflecting RIL's investment-grade credit profile blended with the higher discount rates appropriate for its early-stage New Energy exposure. This approach produces a fair-value range broadly consistent with, though slightly below, the SOTP — unsurprising, since a whole-company DCF implicitly embeds a modest conglomerate discount that the SOTP explicitly does not apply.

Assumption	Value
WACC (base case)	11.0%
Terminal growth rate	5.5%
FY27E–FY31E revenue CAGR (assumed)	10–12%
FY27E–FY31E EBITDA margin trajectory	Gradual expansion as Jio/Retail mix rises
Implied fair value per share (DCF)	Rs 1,480 – Rs 1,680 (illustrative range)

DCF output is presented as a directional cross-check only; given RIL's business mix and the pending Jio IPO, we place primary analytical weight on the SOTP.

Peer & multiple context

True direct comparables for a diversified energy-telecom-retail conglomerate are scarce. We show below the trading multiples of the closest large-cap Indian references on a segment basis — Bharti Airtel for telecom, Avenue Supermarts (DMart) for organised retail — purely as context for the individual multiples applied within our SOTP, not as direct read-throughs to RIL's consolidated multiple.

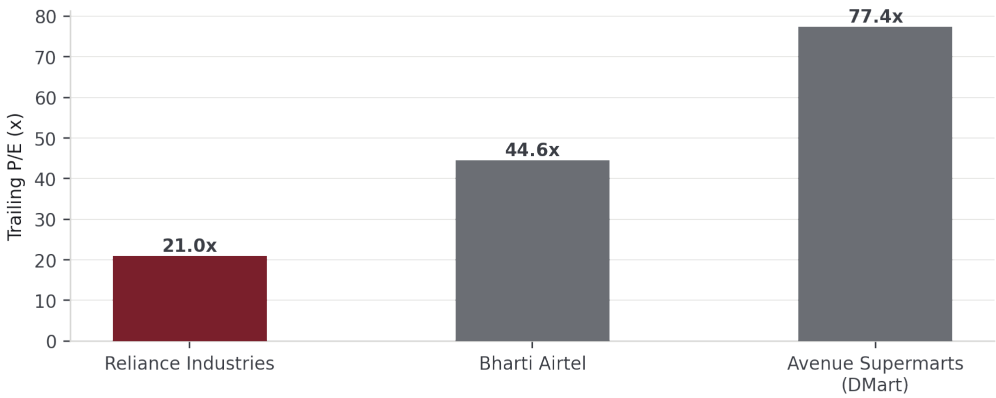


Exhibit 9: Trailing P/E — RIL vs. segment-level Indian large-cap references. Source: Screener.in, Value Research, Kotak Neo (17 July 2026).

Company	Market Cap	P/E	ROE	Note
Reliance Industries	17.96L cr	21.0x	8.8%	Conglomerate (O2C/Retail/Telecom/Energy)
Bharti Airtel	11.91L cr	44.6x	23.0%	Telecom pure-play
Avenue Supermarts (DMart)	2.58L cr	77.4x	13.6%	Retail pure-play

RIL's consolidated P/E of ~21x trailing sits well below Bharti Airtel's ~44.6x and DMart's ~77x — both narrower, purer growth stories. We read this less as RIL being ‘cheap’ in absolute terms and more as the market applying a conglomerate discount that a successful, well-priced Jio Platforms listing could meaningfully narrow, which is the core mechanism behind our Overweight rating.

SECTION 12

Sensitivity & Scenario Analysis

A single target price implies false precision unless the reader can see what it depends on. This section isolates the five assumptions with the largest influence on our valuation and rating, varying each individually — holding the other four at their base-case level — to show exactly how much of our Overweight thesis is load-bearing on any one input. Methodology: scenario values apply a uniform ~0.94x conservatism scalar to the SOTP ranges in Section 11, calibrated so the base case reproduces our published target of Rs 1,695 exactly. Rating thresholds are applied consistently throughout this report: upside ≥ 15% = Overweight, –45% to 15% = Neutral, below –5% = Underweight.

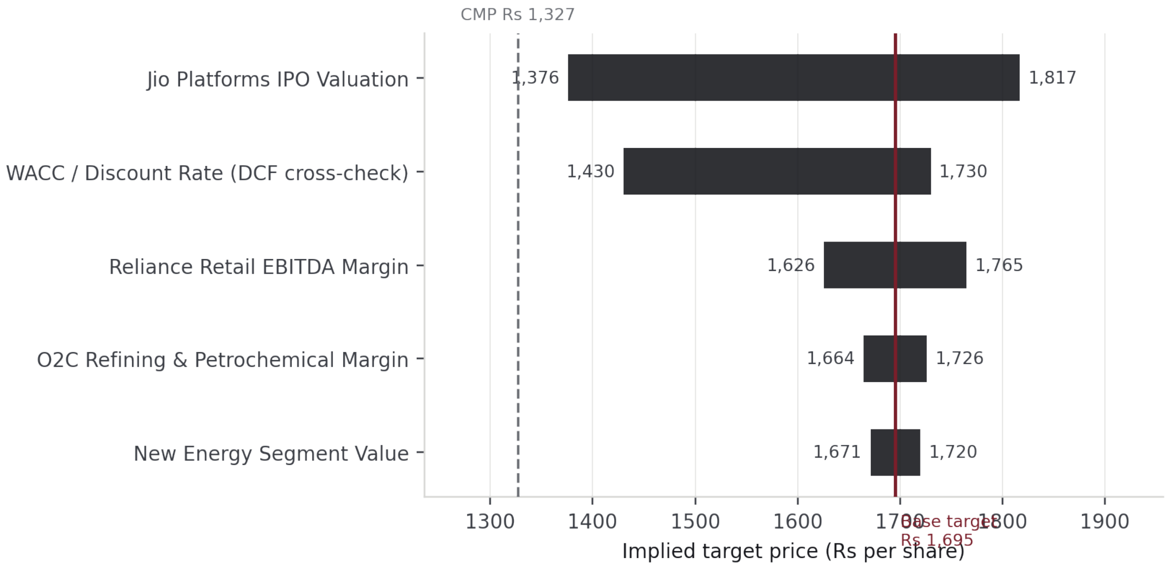


Exhibit 10: Target-price range implied by each driver, base case (other four inputs held constant) vs. bear/bull extremes. Jio IPO valuation and the DCF discount rate are the two assumptions that can plausibly move the rating itself; the other three move the target price without changing the call. Author estimates.

Reading the tornado chart

- **Jio Platforms IPO valuation is the single largest swing factor.** At the disclosed range's low end (US$100bn) the target price still supports Overweight, but our added 'downside tail' scenario (a sub-US$100bn print or a further delay) drops upside to roughly break-even — the one realistic path to a Neutral rating flagged as Risk R1 in Section 14.
- **The DCF discount rate (WACC) is the second-largest swing factor** — a purely macro variable (driven by rate cycles and India risk premia) rather than an RIL-specific one, and the only other input capable of flipping the rating on its own at the bear end.
- **O2C margin, Retail margin, and New Energy value each move the target price by a more modest amount and do not change the rating** across the ranges we consider plausible — consistent with the framing in Sections 6, 8 and 9 that these matter far more for near-term quarterly earnings than for the 12-month valuation call.

Driver 1 — O2C Refining & Petrochemical Margin

Proxies the blended crack spread / GRM environment behind the O2C segment reviewed in Section 6. The current Q1 FY27 print sits near the upper end of this range on unusually wide middle-distillate cracks.

Scenario	US$/bbl blended crack spread (illustrative)	Target Price	vs. CMP	Implied Rating
Bear	US$ 8.0/bbl	Rs 1,664	+25.4%	OVERWEIGHT
Below-Base	US$ 10.0/bbl	Rs 1,680	+26.6%	OVERWEIGHT

Scenario	US$/bbl blended crack spread (illustrative)	Target Price	vs. CMP	Implied Rating
Base	US$ 13.0/bbl	Rs 1,695	+27.7%	OVERWEIGHT
Above-Base	US$ 16.0/bbl	Rs 1,711	+28.9%	OVERWEIGHT
Bull	US$ 19.0/bbl	Rs 1,726	+30.1%	OVERWEIGHT

Driver 2 — Jio Platforms IPO Valuation

Maps the disclosed US$100–180bn DRHP valuation range (Section 7) to RIL's SOTP-attributable Digital Services value, plus an added downside-tail scenario below the disclosed range.

Scenario	US$ billion	Target Price	vs. CMP	Implied Rating
Downside Tail	US$ 70 bn	Rs 1,376	+3.7%	NEUTRAL
Bear	US$ 100 bn	Rs 1,574	+18.6%	OVERWEIGHT
Base	US$ 140 bn	Rs 1,695	+27.7%	OVERWEIGHT
Above-Base	US$ 160 bn	Rs 1,756	+32.3%	OVERWEIGHT
Bull	US$ 180 bn	Rs 1,817	+36.9%	OVERWEIGHT

Driver 3 — Reliance Retail EBITDA Margin

Tests how much of the target price depends on Retail's margin recovering from the Q1 FY27 print (7.9%, down 80bps YoY) discussed in Section 8, versus the compression persisting or reversing further.

Scenario	% of segment revenue	Target Price	vs. CMP	Implied Rating
Bear	6.5%	Rs 1,626	+22.5%	OVERWEIGHT
Below-Base	7.5%	Rs 1,660	+25.1%	OVERWEIGHT
Base	7.9%	Rs 1,695	+27.7%	OVERWEIGHT
Above-Base	9.0%	Rs 1,730	+30.3%	OVERWEIGHT
Bull	10.5%	Rs 1,765	+33.0%	OVERWEIGHT

Driver 4 — WACC / Discount Rate (DCF cross-check)

Applies to the DCF cross-check in Section 11 rather than the SOTP sum; shown on its own basis (DCF fair value), not blended into the other four SOTP-based tables above.

Scenario	% discount rate	Target Price	vs. CMP	Implied Rating
Bear	13.0%	Rs 1,430	+7.7%	NEUTRAL
Below-Base	12.0%	Rs 1,510	+13.8%	NEUTRAL
Base	11.0%	Rs 1,580	+19.0%	OVERWEIGHT
Above-Base	10.0%	Rs 1,650	+24.3%	OVERWEIGHT
Bull	9.0%	Rs 1,730	+30.3%	OVERWEIGHT

Driver 5 — New Energy Segment Value

Tests execution risk on the Jamnagar Giga Complex build-out (Section 9): even a near-total write-down scenario at the bear end barely moves the overall target price, confirming New Energy's role as optionality rather than a core valuation pillar today.

Scenario	Rs cr	Target Price	vs. CMP	Implied Rating
Bear	Rs 84,510 cr	Rs 1,671	+25.9%	OVERWEIGHT
Below-Base	Rs 100,943 cr	Rs 1,683	+26.8%	OVERWEIGHT
Base	Rs 117,375 cr	Rs 1,695	+27.7%	OVERWEIGHT
Above-Base	Rs 133,808 cr	Rs 1,707	+28.6%	OVERWEIGHT
Bull	Rs 150,240 cr	Rs 1,720	+29.6%	OVERWEIGHT

What would move us off Overweight: based on the ranges above, the two realistic paths to a rating change are (i) the Jio Platforms IPO pricing at a material discount to, or well below, its disclosed US$100–180bn range, or being delayed/withdrawn entirely, and (ii) a sustained rise in risk-free rates or India-specific risk premia pushing our effective discount rate materially above 12%. Both are monitorable in real time — the first through IPO news flow (Section 13, Catalysts), the second through Indian 10-year yields and RBI policy — and neither has occurred as of the report date.

SECTION 13

Catalysts & Event Calendar

We flag the following event triggers over the next 12 months as most likely to move the stock, roughly in expected chronological order.

Event	Expected Timing	Bias	Why It Matters
SEBI clearance of Jio DRHP	Q3 CY2026 (est.)	Positive	Confirms deal is proceeding on the disclosed timeline
Jio Platforms price band announcement	Ahead of listing window	High impact	Sets the market's first hard reference valuation for Jio
Jio Platforms IPO listing	August-October 2026	High impact	Crystallises Jio's standalone market value; narrows conglomerate discount if well-received
Q2 FY27 results	Mid-October 2026 (est.)	Data point	Read-through on whether Retail margin pressure is stabilising
New Energy battery gigafactory ramp	H2 CY2026	Positive, if on schedule	First concrete commercial validation of New Energy capex
Electrolyser gigafactory start-up	End-CY2026 target	Positive, if on schedule	Green hydrogen ambitions move from plan to production
Kutch solar generation start	FY27	Positive	First revenue contribution from New Energy generation assets
Further crude/refining-margin volatility	Ongoing	Two-sided	O2C remains the largest swing factor in quarterly earnings

Timing estimates for regulatory and listing events are based on typical SEBI DRHP review periods (30–75 days) and management's own public guidance; actual dates remain subject to change and have already shifted multiple times since the IPO was first flagged in August 2025.

SECTION 14

Risk Factors

We see five principal risks to our Overweight thesis, roughly ordered by our assessment of their combined probability and potential earnings/valuation impact.

R1 **Jio IPO execution and pricing risk**

The entire near-term re-rating catalyst depends on a well-received, appropriately priced Jio Platforms listing. A DRHP withdrawal, a materially delayed timeline, or pricing toward the low end of the disclosed US$100–180bn range (or below) would remove or substantially shrink the catalyst our thesis relies on. SEBI review timelines and broader IPO market conditions are outside RIL's control.

R2 **Refining margin cyclicality**

O2C remains RIL's largest segment by both revenue and EBITDA. Q1 FY27's strong print was aided by an unusually wide crude-price shock and multi-year-high cracks; a normalisation of Brent, a narrowing of crude-grade differentials, or new global refining capacity coming online (particularly in the Middle East and China) could compress segment margins meaningfully from current levels.

R3 **Retail margin compression persisting longer than expected**

The 80 bps YoY EBITDA margin decline in Q1 FY27 reflects a deliberate investment cycle in hyperlocal delivery infrastructure. If Indian quick-commerce competition (Zepto, Blinkit, Instamart, and others) proves more structurally intense than a temporary investment phase, margin recovery could be delayed well beyond the 3–4 quarter window we currently assume.

R4 **New Energy execution and timeline risk**

Battery and electrolyser gigafactory commissioning dates have already slipped multiple times relative to original 2023–era guidance. Further delays, cost overruns, or a slower-than-expected ramp in green hydrogen offtake demand would defer monetisation of one of the group's largest capital commitments and weaken the optionality argument in our SOTP.

R5 **Leverage and capital-intensity risk**

RIL's five-year capex bill of roughly Rs 6.48 lakh crore, funded so far without meaningful leverage deterioration, must continue to be self-funded through operating cash flow (or partially through Jio IPO proceeds) as New Energy and AI-infrastructure spending scales further. A prolonged downturn in O2C or Retail cash generation, layered on continued heavy capex, could pressure the currently comfortable net debt/EBITDA ratio of 0.57x.

> **Other risks not modelled in detail:** currency risk (a weaker rupee raises USD-denominated crude import costs and foreign-currency debt servicing, though partially offset by export revenue and improving credit ratings); regulatory risk in telecom tariffs and spectrum policy; geopolitical risk to crude sourcing given RIL's reliance on discounted Russian and Middle Eastern crude; and general Indian equity market risk (RIL's beta to the Nifty 50, of which it is the largest constituent, means broad market drawdowns will affect the stock regardless of company-specific fundamentals).

SECTION 15

ESG & Governance Considerations

RIL presents a genuinely mixed ESG profile: a core hydrocarbon-refining business with material carbon intensity, sitting alongside one of the largest corporate clean-energy capital commitments in the world. We summarise the key considerations below rather than assigning a proprietary composite score, which we believe would obscure more than it reveals for a business this diversified.

Environmental

- Core O2C operations carry meaningful direct (Scope 1) and value-chain (Scope 3) carbon exposure, consistent with any large integrated refining and petrochemicals business.
- RIL has articulated a target of net-carbon-zero operations by 2035, well ahead of India's national 2070 target, anchored by the New Energy build-out detailed in Section 9.
- Execution risk on the New Energy timeline (see Section 14) is simultaneously a business risk and a climate-commitment credibility risk — the two are closely linked for RIL specifically.

Social

- RIL is one of India's largest private-sector employers, with a workforce exceeding 390,000 across the group, and a large indirect employment footprint through its retail store network and Jio distribution.
- The group's FY26 tax contribution of Rs 2.16 lakh crore (Rs 9.78 lakh crore cumulative over five years) and merchandise export contribution (6.7% of India's total) represent a substantial macroeconomic footprint that is frequently cited by management as a social-value argument.
- Jio's role in dramatically lowering the cost of mobile data in India since 2016 is widely credited with accelerating national digital-financial-inclusion trends, an externality not captured in conventional earnings metrics.

Governance

- Promoter (Ambani family) holding of roughly 50% provides stability and long-term orientation, but also concentrates control — a structure common among Indian conglomerates that investors should weigh against Western dispersed-ownership governance norms.
- The Jio Platforms IPO structuring — a 100% fresh issue with no offer-for-sale — is a shareholder-friendly signal, as it means promoter and existing-shareholder economic interests are not being diluted through a sell-down at IPO.
- Credit-rating upgrades from both Moody's (to Baa1) and S&P (to A-, two notches above India's sovereign rating) during the period under review reflect rating agencies' independent assessment of balance sheet discipline and cash-flow quality.
- Related-party transactions and intra-group structuring (e.g., between RIL, Jio Platforms, and RRVL) warrant ongoing scrutiny as Jio moves toward independent public-company governance standards ahead of its listing.

SECTION 16

Appendix A — Financial Model Summary

Consolidated summary financials, FY22–FY26 actuals with Q1 FY27 latest quarter, presented for reference alongside the analysis in Section 10.

Consolidated Income Statement Summary (Rs crore)

FY	Gross Revenue	EBITDA	EBITDA Mgn	Net Profit	Net Mgn	Capex
FY22	792,756	125,688	15.9%	67,845	8.6%	125,951
FY23	974,864	153,920	15.8%	73,670	7.6%	141,969
FY24	1,000,122	178,677	17.9%	79,020	7.9%	146,917
FY25	1,071,174	183,422	17.1%	81,309	7.6%	141,809
FY26	1,175,919	207,911	17.7%	95,754	8.1%	144,271

Segment Summary — Q1 FY27 (Rs crore)

Segment	Revenue	YoY	EBITDA	YoY	Rev. Share
Oil to Chemicals	201,803	+30.4%	17,010	+17.2%	55.2%
Retail	90,408	+7.4%	6,309	-1.1%	24.7%
Digital Services (Jio)	39,000	+14.0%	21,255	+16.1%	10.6%
Oil & Gas E&P	5,900	-8.0%	3,400	-10.1%	1.7%
Media (JioStar)	10,946	+14.0%	933	+30.7%	3.0%

Balance Sheet & Credit Snapshot

Item	Value
Gross Debt (Rs cr)	369,705
Net Debt (Rs cr)	122,914
Net Debt / EBITDA	0.57x
Cash & Equivalents, FY26-end (Rs cr)	2,49,704
Shares Outstanding (crore, approx.)	1354.0
Market Capitalisation (Rs cr)	1,796,038
Moody's / S&P Rating	Baa1 (upgraded Q1 FY27, from Baa2) / A- (2 notches above India sovereign)

Valuation Summary

Item	Value
Current Market Price (17-Jul-2026)	Rs 1,327.2
12-Month Target Price (SOTP-based)	Rs 1,695
Implied Upside	+27.7%
SOTP Implied Range	Rs 1,549 – Rs 2,073 per share
DCF Cross-check Range	Rs 1,480 – Rs 1,680 per share
Trailing P/E	21.0x

Item	Value
Consensus Rating	Strong Buy (31 analysts)

SECTION 17

Appendix B — Glossary of Terms

Term	Definition
O2C	Oil to Chemicals — RIL's refining, petrochemicals and polymers segment.
EBITDA	Earnings Before Interest, Tax, Depreciation and Amortisation — a core measure of operating profitability.
PAT	Profit After Tax, i.e. net profit attributable to shareholders.
SOTP	Sum-of-the-Parts — a valuation method that values each business segment separately and adds them together.
DCF	Discounted Cash Flow — a valuation method based on the present value of projected future free cash flows.
WACC	Weighted Average Cost of Capital — the discount rate used in DCF valuation.
DRHP	Draft Red Herring Prospectus — the preliminary IPO offer document filed with SEBI.
GRM	Gross Refining Margin — the profit per barrel of crude processed into refined products.
Crack spread	The margin between the price of crude oil and the price of refined products derived from it.
ARPU	Average Revenue Per User — a key telecom operating metric.
Net Debt / EBITDA	A leverage ratio measuring how many years of EBITDA would be needed to repay net debt.
bps	Basis points — one hundredth of one percentage point.
Crore / Lakh crore	Indian numbering: 1 crore = 10 million; 1 lakh crore = 1 trillion (10^12).
Jio Platforms	The holding company for RIL's digital services businesses, including Reliance Jio Infocomm, currently pursuing an IPO.
RRVL	Reliance Retail Ventures Limited — the holding company for RIL's retail businesses.
BESS	Battery Energy Storage System.
PLI	Production-Linked Incentive — Government of India manufacturing subsidy scheme.

SECTION 18

Important Disclosures

This report was prepared by the Zaid Terminal Research Desk as a demonstration of institutional-style equity research methodology for inclusion in a personal software and analytics portfolio. Please read the following disclosures carefully.

Not investment advice

Nothing in this report constitutes a recommendation, solicitation, or offer to buy or sell any security, nor personalised investment, legal, or tax advice. The rating, target price, and estimates presented reflect the author's own modelling framework applied to publicly available information and are not guarantees of future performance. Equity investments carry risk of loss, including loss of principal. Readers should conduct their own due diligence and consult a SEBI-registered investment adviser or research analyst before making any investment decision.

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Data sources and currency

All financial and operating data are sourced from Reliance Industries' public stock-exchange filings, investor presentations, and annual reports, cross-referenced against financial media coverage (including Business Standard, ICICI Direct, Screener.in, Stockopedia, StockAnalysis.com, Kotak Neo, Value Research, TipRanks, and Trendlyne) as of 17–20 July 2026. Figures for unlisted subsidiaries, precise shareholding percentages between disclosure dates, and multi-year segment trend data are, where noted, author estimates built to be directionally consistent with disclosed endpoints rather than exact quarter-by-quarter company figures. The Jio Platforms IPO terms (price band, exact issue size, listing date) remain undetermined as of the report date and are subject to change through the SEBI review and book-building process.

Analyst certification

The author certifies that the views expressed in this report accurately reflect their own analysis of publicly available information, and that no part of the author's compensation is tied to the specific recommendations or views expressed in this report. The author is not a SEBI-registered Research Analyst under the SEBI (Research Analysts) Regulations, 2014, and this report should not be relied upon as though it were issued under that regulatory framework.

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Prepared by: Zaid Terminal Research Desk | **Publication date:** 20 July 2026 | **Portfolio:** Mohd Zaid Ayaz

End of report.